

Guangdong Songfa Ceramics Co (603268.SS)

2Q26 earnings strong beat, on earlier blocks construction pre phase III, better margin and operational efficiency; Buy

603268.SS 12m Price Target: Rmb200.00 Price: Rmb160.37 Upside: 24.7%

Post market close on July 7th, Songfa/Hengli Heavy Industry released 1H26 prelim results, with 1H26 reported net profit of c.Rmb3.6bn and adjusted net profit at around c.Rmb3.5bn. This implies **2Q26 net profit of c.Rmb2.5bn (+129% QoQ) and adjusted net profit of c. Rmb2.4bn (+120% QoQ), which is ahead of our expectation of Rmb1.8bn (see Exhibit 1) and the range mentioned in our conversations with investors, accounting for c.35% of WIND FY26 consensus. We attribute the strong beat to: 1) Earlier commencement of blocks construction, ahead of phase III drydock's operation starting from June** - Though phase III drydock (where the ship is finally assembled) started operation in June, we believe the company had pre-fabricated blocks e.g. cutting steel at ground workshops before that, which could have also contributed to revenue based on the construction progress recognition method. **2) Better-than-expected margin driven by product mix improvement** - Hengli started blocks construction ahead of phase III drydocks operation, which effectively enabled more higher-margin tankers and containerships to be constructed earlier, by comparing delivery schedules in July-26 vs. Mar-26 (Exhibit 2, Exhibit 3). **3) Operational efficiency improvement** - During 2Q26, Hengli delivered 2 VLCCs to clients at least 3 months ahead of contract deadline, showcasing in our view, its improved operational efficiency after experience accumulation.

Post this announcement, we revise up our earnings forecast for 2026E-28E to Rmb9.2bn/Rmb14.4bn/Rmb16.2bn up +22%/10%/8% (Exhibit 6) vs. our priors, mainly factoring in earlier expanded capacity in place in 2Q26 and higher margin from improved operational efficiency. As a result, **we raise our 12m TP to Rmb200/share (up 8% from Rmb185 previously)** based on an unchanged target 2028E P/E of 12x.

In addition, we see further earnings upside if Hengli finalises the phase IV capacity addition, which is estimated to add another up

BUY

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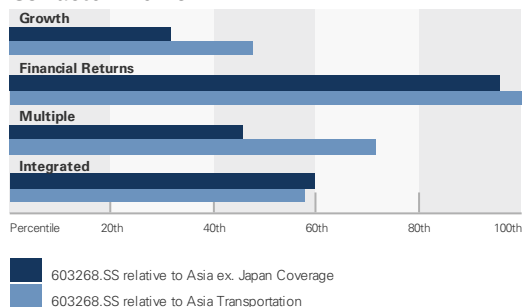
Key Data

Market cap: Rmb155.7bn / \$22.9bn
Enterprise value: Rmb163.7bn / \$24.1bn
3m ADTV: Rmb1.2bn / \$173.7mn
China
Asia Transportation
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	21,539.6	53,595.3	72,112.1	74,561.9
Revenue (Rmb mn) Old	21,539.6	50,581.8	71,646.3	74,502.1
EBITDA (Rmb mn)	4,104.8	12,397.0	18,570.1	20,456.6
EPS (Rmb) New	2.73	9.51	14.80	16.67
EPS (Rmb) Old	2.73	7.77	13.44	15.38
P/E (X)	17.8	16.9	10.8	9.6
P/B (X)	5.0	8.3	4.8	3.3
Dividend yield (%)	0.0	0.6	0.9	1.0
CROCI (%)	28.5	40.9	53.6	58.2
	3/26	6/26E	9/26E	12/26E
EPS (Rmb)	1.13	2.53	2.71	3.14

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

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(603268.SS)**

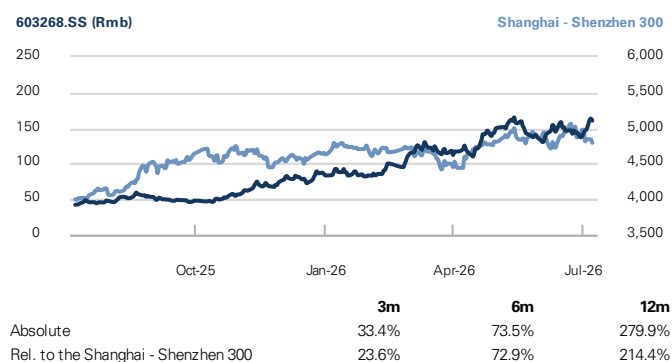
Rating since Apr 2, 2026

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	17.8	16.9	10.8	9.6
P/B (X)	5.0	8.3	4.8	3.3
FCF yield (%)	(24.0)	0.4	9.5	9.6
EV/EBITDAR (X)	13.6	13.2	8.1	6.7
EV/EBITDA (excl. leases) (X)	13.3	13.1	8.0	6.6
CROCI (%)	28.5	40.9	53.6	58.2
ROE (%)	41.7	65.6	56.5	41.0
Net debt/equity (%)	90.8	42.7	(18.2)	(41.3)
Net debt/equity (excl. leases) (%)	77.6	36.9	(21.3)	(43.2)
Interest cover (X)	6.0	14.9	26.5	46.2
Days inventory outst, sales	59.5	55.3	61.0	64.2
Receivable days	3.0	1.5	1.8	2.0
Days payable outstanding	254.1	222.3	260.8	286.0
DuPont ROE (%)	28.1	49.4	44.7	34.5
Turnover (X)	0.4	0.6	0.7	0.6
Leverage (X)	5.2	4.6	3.3	2.5
Gross cash invested (ex cash) (Rmb)	21,316.7	29,953.4	29,549.6	30,793.6
Average capital employed (Rmb)	10,909.9	21,184.4	25,437.2	25,960.5
BVPS (Rmb)	9.74	19.25	33.10	48.29

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	277.6	148.8	34.5	3.4
EBITDA growth	595.4	202.0	49.8	10.2
EPS growth	1,083.1	247.9	55.6	12.6
DPS growth	NM	NM	55.6	12.6
EBIT margin	16.7	22.0	24.3	26.0
EBITDA margin	19.1	23.1	25.8	27.4
Net income margin	12.3	17.2	19.9	21.7

Price Performance**Income Statement (Rmb mn)**

	12/25	12/26E	12/27E	12/28E
Total revenue	21,539.6	53,595.3	72,112.1	74,561.9
Cost of goods sold	(17,223.7)	(40,472.4)	(53,134.5)	(53,689.1)
SG&A	(710.3)	(1,346.1)	(1,448.9)	(1,498.1)
R&D	—	—	—	—
Other operating inc./exp.)	—	—	—	—
EBITDA	4,104.8	12,397.0	18,570.1	20,456.6
Depreciation & amortization	(499.3)	(620.2)	(1,041.4)	(1,082.0)
EBIT	3,605.6	11,776.8	17,528.7	19,374.6
Net interest inc./exp.)	(556.9)	(754.0)	(623.0)	(336.7)
Income/(loss) from associates	—	—	—	—
Pre-tax profit	3,181.3	11,068.5	16,905.7	19,037.9
Provision for taxes	(526.7)	(1,832.4)	(2,535.9)	(2,855.7)
Minority interest	—	—	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	2,654.6	9,236.2	14,369.8	16,182.2
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	2,654.6	9,236.2	14,369.8	16,182.2
EPS (basic, pre-exception) (Rmb)	2.73	9.51	14.80	16.67
EPS (diluted, pre-exception) (Rmb)	2.73	9.51	14.80	16.67
EPS (basic, post-exception) (Rmb)	2.73	9.51	14.80	16.67
EPS (diluted, post-exception) (Rmb)	2.73	9.51	14.80	16.67
DPS (Rmb)	—	0.95	1.48	1.67
Div. payout ratio (%)	0.0	10.0	10.0	10.0

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	7,215.2	7,814.2	16,546.2	25,459.1
Accounts receivable	122.5	304.7	410.0	423.9
Inventory	5,175.2	11,051.9	13,053.8	13,190.1
Other current assets	16,519.6	32,581.0	42,179.6	44,103.0
Total current assets	29,032.5	51,751.9	72,189.6	83,176.1
Net PP&E	18,136.7	31,484.3	31,718.9	31,921.5
Net intangibles	2,076.4	2,088.9	2,101.9	2,115.4
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	146.5	146.5	146.5	146.5
Total assets	49,392.0	85,471.5	106,156.9	117,359.5
Accounts payable	15,216.6	34,092.8	41,847.5	42,284.3
Short-term debt	10,908.2	10,908.2	7,908.2	4,908.2
Short-term lease liabilities	217.7	190.8	170.2	154.9
Other current liabilities	5,497.1	13,464.6	18,067.1	18,676.0
Total current liabilities	31,839.6	58,656.4	67,992.9	66,023.2
Long-term debt	3,643.6	3,797.9	1,797.9	297.9
Long-term lease liabilities	1,032.2	904.5	807.0	734.1
Other long-term liabilities	3,424.5	3,424.5	3,424.5	3,424.5
Total long-term liabilities	8,100.3	8,126.9	6,029.4	4,456.5
Total liabilities	39,939.9	66,783.3	74,022.4	70,479.7
Preferred shares	—	—	—	—
Total common equity	9,452.1	18,688.3	32,134.5	46,879.7
Minority interest	—	—	—	—
Total liabilities & equity	49,392.0	85,471.5	106,156.9	117,359.5
Net debt, adjusted	7,336.6	6,891.8	(6,840.2)	(20,253.1)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	2,654.6	9,236.2	14,369.8	16,182.2
D&A add-back	499.3	620.2	1,041.4	1,082.0
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	(5,217.9)	4,723.4	651.4	(1,027.9)
Other operating cash flow	334.8	—	—	—
Cash flow from operations	(1,729.3)	14,579.7	16,062.6	16,236.3
Capital expenditures	(9,630.5)	(13,980.3)	(1,289.0)	(1,298.1)
Acquisitions	—	—	—	—
Divestitures	21.5	—	—	—
Others	(34.2)	—	—	—
Cash flow from investing	(9,643.3)	(13,980.3)	(1,289.0)	(1,298.1)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	—	—	(923.6)	(1,437.0)
Inc/(dec) in debt	10,172.4	154.3	(5,000.0)	(4,500.0)
Other financing cash flows	6,043.6	(154.7)	(118.0)	(88.3)
Cash flow from financing	16,216.0	(0.4)	(6,041.6)	(6,025.3)
Total cash flow	4,843.5	599.0	8,732.0	8,912.9
Free cash flow	(11,359.8)	599.4	14,773.6	14,938.2

Source: Company data, Goldman Sachs Research estimates.

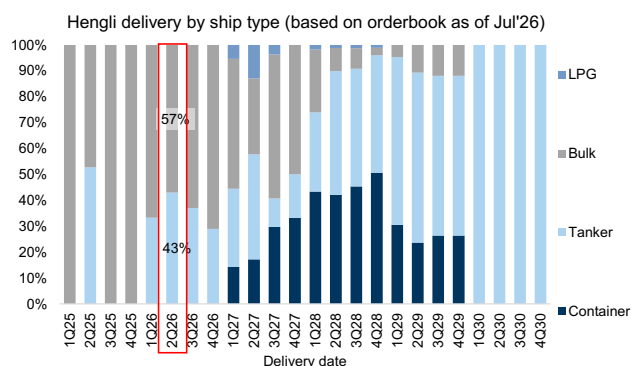
to 100% capacity to the existing three phases, as we believe the expanded capacity would be filled by strong new ship orders. Hengli's order-winning momentum remained strong in Jun-26. After winning Rmb15bn new orders at Posidonia Exhibition (see [Jun-26](#) report), [news](#) reported that MSC has ordered up to 20 x 20k TEU containerships from Hengli recently, which we estimate is valued at US\$4bn (based on recent newbuild price), accounting for over 10% of the orderbook. We expect Hengli can sustain its order-winning momentum benefiting from booming tanker orders and global aging fleet. Hengli has a cover years of 2.7x (incl. Ph III capacity), and we expect the company may continue to expand capacity via phase IV (see [Jun-26](#) report). A shorter-than-peers cover years (global avg at 3.8x years) is a key competitive moat for Hengli when bidding for orders, because shippers mentioned it's hard to find slots delivered in 2028 among tier-1 shipyards (see [Jul-26](#) report) and they are still actively looking for slots from global shipyards for tanker delivery for 2H28-1H29 and are willing to pay c.10% premium over those to be delivered in 2030 (see [our shipbuilding trip takeaways](#)).

Exhibit 1: Hengli 1H26 prelim results and implied 2Q26 results

	1H26 Prelim	1Q26 Reported	2Q26 Implied	QoQ		2Q26 Gse	Vs. Gse	
mn RMB				mn RMB	%		mn RMB	%
Net profit	3,600	1,093	2,507	1,413	129%	1,791	716	40%
Adjusted net profit	3,500	1,092	2,408	1,316	120%	1,820	588	32%
- One off	100	1	99					

Source: Company data, Goldman Sachs Global Investment Research

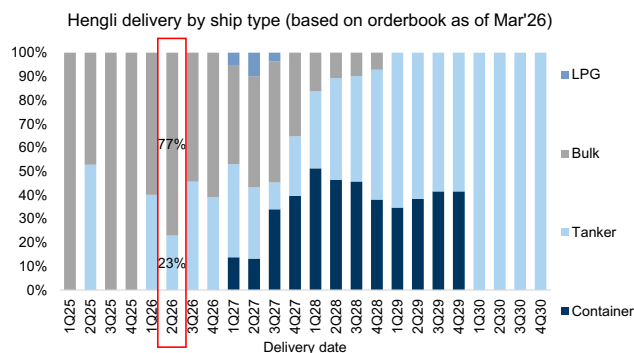
Exhibit 2: Hengli deliveries (in CGT terms) by ship type as of Jul'26



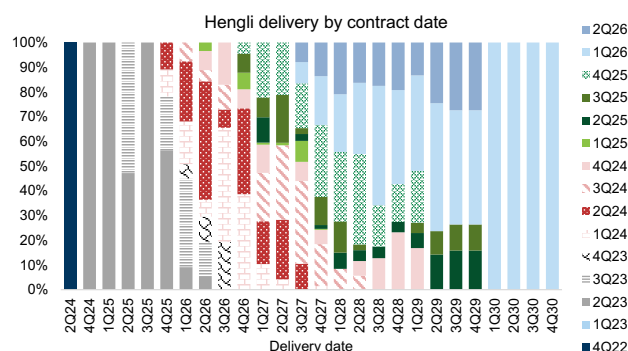
As of July 7, 2026.

Source: Clarksons

Exhibit 3: Hengli deliveries (in CGT terms) by ship type as of Mar'26

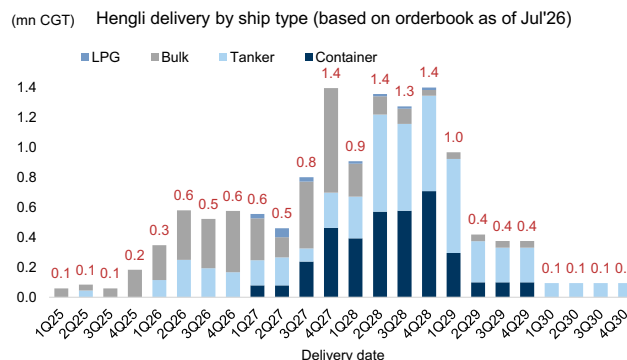


Source: Clarksons, Data compiled by Goldman Sachs Global Investment Research

Exhibit 4: Hengli deliveries (in CGT terms) by contract date

As of July 7, 2026.

Source: Clarksons, Data compiled by Goldman Sachs Global Investment Research

Exhibit 5: Hengli's latest orderbook is at c.11.8mn CGT

As of July 7, 2026.

Source: Clarksons, Data compiled by Goldman Sachs Global Investment Research

Exhibit 6: Earnings forecast changes

Hengli Heavy Industry	2026E			2027E			2028E		
	New	Old	Change (%)	New	Old	Change (%)	New	Old	Change (%)
Key operating metrics									
Completion recognized (mn CGT)	3.04	2.89	5%	4.00	4.00	0%	4.00	4.00	0%
Average price per CGT recognized (US\$)	2,476	2,451	1%	2,569	2,569	0%	2,651	2,637	1%
New order value (US\$ mn) - GSe	21,679	20,331	7%	13,999	10,532	33%	13,348	9,883	35%
Key Financials (Rmb mn)									
Total revenue	53,843	50,816	6%	72,445	71,977	1%	74,906	74,846	0%
Shipbuilding revenue	51,663	48,622	6%	68,859	68,846	0%	71,059	70,671	1%
Engine revenue (external)	1,366	1,380	-1%	2,732	2,277	20%	2,951	3,279	-10%
Others	813	813	0%	854	854	0%	897	897	0%
Total COGS	(40,472)	(39,364)	3%	(53,134)	(54,222)	-2%	(53,689)	(55,097)	-3%
EBIT	13,371	11,452	17%	19,311	17,755	9%	21,217	19,750	7%
EBIT margin (%)	24.8%	22.5%	2.3ppt	26.7%	24.7%	2.0ppt	28.3%	26.4%	1.9ppt
EBITDA	12,397	10,568	17%	18,570	17,026	9%	20,457	18,990	8%
EBITDA margin (%)	23.0%	20.8%	2.2ppt	25.6%	23.7%	2.0ppt	27.3%	25.4%	1.9ppt
Net interest expense	(754)	(754)	0%	(623)	(631)	-1%	(337)	(347)	-3%
PBT	11,069	9,040	22%	16,906	15,354	10%	19,038	17,561	8%
PAT	9,236	7,543	22%	14,370	13,050	10%	16,182	14,927	8%
Net profit (reported)	9,236	7,543	22%	14,370	13,050	10%	16,182	14,927	8%
Net margin (reported) (%)	17.2%	14.8%	2.3ppt	19.8%	18.1%	1.7ppt	21.6%	19.9%	1.7ppt
Net profit (adjusted)	9,202	7,659	20%	14,370	13,050	10%	16,182	14,927	8%
Net margin (adjusted) (%)	17.1%	15.1%	2.0ppt	19.8%	18.1%	1.7ppt	21.6%	19.9%	1.7ppt
Reported EPS (Rmb)	9.51	7.77	22%	14.80	13.44	10%	16.67	15.38	8%
Adjusted EPS (Rmb)	9.48	7.89	20%	14.80	13.44	10%	16.67	15.38	8%
DPS (Rmb)	0.95	0.78	22%	1.48	1.34	10%	1.67	1.54	8%

Source: Goldman Sachs Global Investment Research

Investment Thesis - Guangdong Songfa Ceramics

We are Buy rated on Guangdong Songfa Ceramics, **whose primary asset, Hengli Heavy Industry, appears well positioned to become the second-largest shipbuilder globally by 2027E (GSe)**. We expect Hengli to be a major capacity addition player with a 29% CAGR in 2025-27E, factoring in the completion of its phase III yard, vs. a 3% CAGR for global peers. We expect this to drive its capacity market share to 7% by end-2026E and reduce its orderbook cover years to 2.7x (vs. global / China avg 3.6x/4.0x), one of the lowest among global major shipyards. On the other hand, we expect tanker

super-cycle and an aging fleet to continue to bring new tanker orders, driving the orderbook to rise by c.50% to US\$39bn. Risks: Delays in ship delivery or new capacity release; Higher-than-expected steel prices; Less-than-expected new order wins; Lower-than-expected ASP; Stronger-than-expected RMB appreciation vs. USD; Faster-than-expected capacity expansion from other shipyards. Key catalysts: Earnings uptrend and new order wins.

Price Target Risks and Methodology - Guangdong Songfa Ceramics Co

Our 12-m target price of Rmb200/share is based on a 2028E P/E of 12x, based on the average of Chinese and Korean shipyards. Risks: Delays in ship delivery or new capacity release; Higher-than-expected steel prices; Less-than-expected new order wins; Lower-than-expected ASP; Stronger-than-expected RMB appreciation vs. USD; Faster-than-expected capacity expansion from other shipyards.

Disclosure Appendix

Reg AC

We, Herbert Lu and Wing Huang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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There are no company-specific disclosures for: Guangdong Songfa Ceramics Co (Rmb160.37)

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Global	50%	34%	16%		65%	60%	45%

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Target price history table(s)

Guangdong Songfa Ceramics Co (603268.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
07-Jul-26	200.00	160.37
27-Apr-26	185.00	138.92
02-Apr-26	169.00	116.99

Price targets shown in table(s) are unadjusted for corporate actions.

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